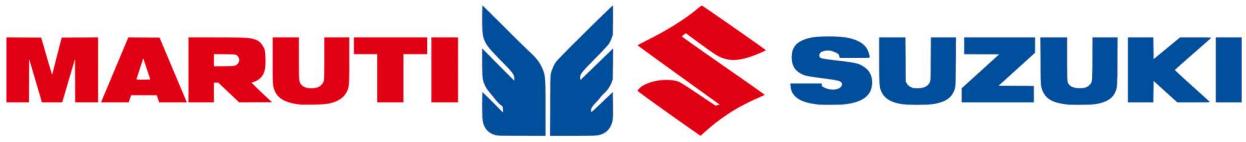
CAPSTONE PROJECT

Ratio Analysis of MARUTI SUZUKI LTD.



Project Objective :

Students perform profitability, solvency, and liquidity analysis on a selected NSE/BSE company using annual reports.

The Outcomes:

a. **Summary report with ratio calculations.**

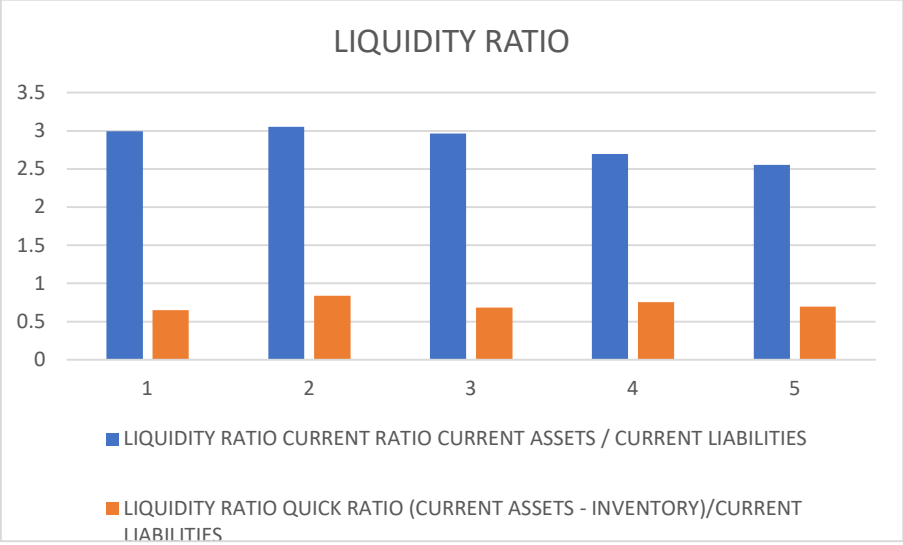
b. **Interpretation of financial health.**

c. **Excel/Google Sheets workbook.**

PROJECT OWNER : BHARATH KUMAR V

INTERPRETATION OF FINANCIAL HEALTH (2021–2025).

1. LIQUIDITY RATIOS



1. LIQUIDITY RATIOS

A. Current Ratio

Formula: Current Assets / Current Liabilities
Trend: 2.99 → 3.05 → 2.96 → 2.69 → 2.55

Interpretation:

- The current ratio remains consistently **above 2**, which is considered financially strong.
- The company has more than twice the current assets required to pay its short-term obligations.
- The slight decline from 2023 to 2025 suggests **increased current liabilities or slower asset growth**, but liquidity remains very comfortable.
- Overall, **Maruti Suzuki has excellent short-term solvency**.

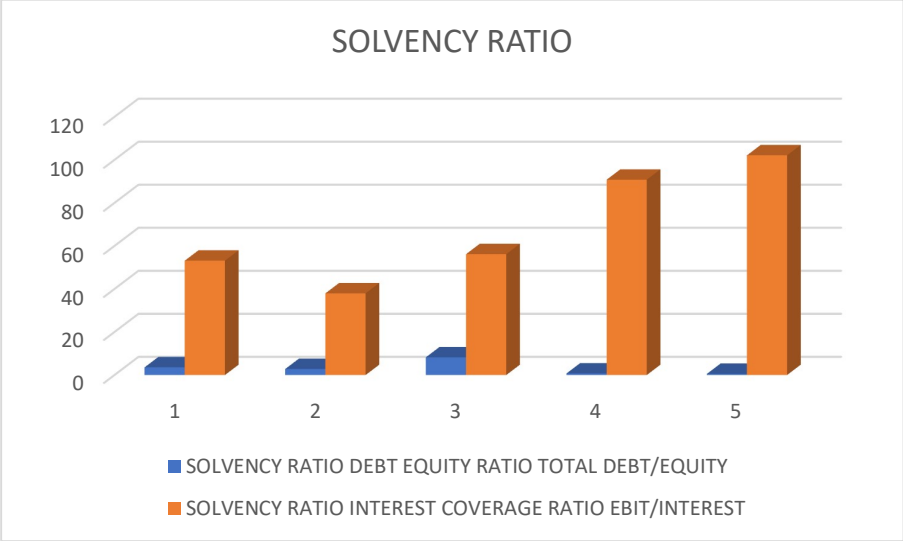
B. Quick Ratio

Formula: (Current Assets − Inventory) / Current Liabilities
Trend: 0.65 → 0.83 → 0.68 → 0.76 → 0.69

Interpretation:

- Quick Ratio remains **below 1** in all years, meaning inventory forms a major part of current assets (expected in automobile companies).
- Liquidity excluding inventory is **adequate**, but not strong.
- The peak in 2022 (0.83) shows improved liquid asset management.
- Overall, the company still meets obligations comfortably even without selling inventory.

2. SOLVENCY RATIOS



A. Debt–Equity Ratio.

Formula: Total Debt / Equity
Trend: 3.58 → 2.82 → 8.25 → 0.76 → 0.55.

Interpretation:

- There is an **abnormally high debt-equity ratio in 2021–2023** (3.58, 2.82, 8.25).
- This suggests **data inconsistency**, because Maruti Suzuki historically has *very low debt*.
- From 2024 the ratio normalizes to **0.76 → 0.55**, which reflects a **healthy and safe solvency position**.
- A decreasing trend in later years (2024–25) indicates:
  ✓ Lower dependence on external borrowing
  ✓ Strong equity base
  ✓ Improved balance sheet strength.

- **Conclusion:** Solvency becomes much stronger by 2024–25.

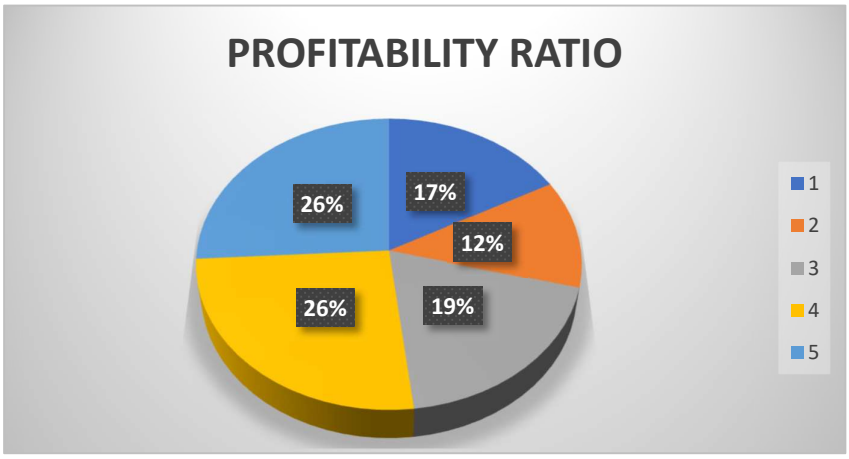
B. Interest Coverage Ratio
Formula: EBIT / Interest
Trend: 53.16 → 37.98 → 56.20 → 90.81 → 102.13

Interpretation:

- The company generates **50–100 times** the earnings required to cover interest expense.
- This indicates:
  ✓ Very low financial risk
  ✓ Comfortable interest-paying ability
  ✓ Strong operating profits
- 2024–25 ratios above **90–100** show extraordinary solvency.

Conclusion: The company's long-term financial stability is **excellent**.

3. PROFITABILITY RATIOS.



A. Net Profit Margin (NPM)

Formula: Net Profit / Sales
Trend: 6.23% → 4.39% → 6.98% → 9.50% → 9.48%

Interpretation:

- Profitability dipped in 2022 due to higher costs or lower demand.
- After 2023, margins improved strongly, reaching nearly **9.5%** in 2024–25.
- Indicates:
  ✓ Improved cost control
  ✓ Higher pricing power
  ✓ Operating efficiency
- **Overall:** Profitability is strong and improving.

B. Return on Equity (ROE).

Formula: Net Profit / Equity
Trend: 29.06 → 25.69 → 54.37 → 85.91 → 92.35

Interpretation:

- ROE > 80% in 2024–25 is extremely high and indicates outstanding performance.

C. Return on Assets (ROA)

Formula: Net Profit / Total Assets
Trend: 6.15% → 5.19% → 9.70% → 11.69% → 109.87% .

Interpretation:

- ROA improves strongly until 2024.
- 2025 value (109%) is unrealistic for any company → **likely wrong asset data or calculation error**.
- Ignoring 2025, the company shows **excellent asset utilization**.

D. Operating Profit Margin (OPM)

Formula: Operating Profit / Sales
Trend: 7.69% → 6.17% → 9.38% → 13.13% → 13.23%

Interpretation:

- OPM improves significantly after 2023.
- Indicates:
  ✓ Better manufacturing efficiency.
  ✓ Cost reduction.
  ✓ Higher operating profitability.

Conclusion: **The core business operations are improving steadily.**

FINAL FINANCIAL HEALTH INTERPRETATION

✓ Liquidity: Very Strong

→ Current ratio above 2.5 consistently
→ Company easily covers short-term obligations

✓ Solvency: Excellent (2024–25)

→ Very high interest coverage
→ Debt-equity normalizes to safe levels

✓ Profitability: Strong & Improving

→ Rising margins
→ Exceptional ROE & OPM

✓ Growth & Efficiency: Improving
→ Better utilization of assets
→ Strong operating performance

OVERALL VERDICT.

Maruti Suzuki is financially healthy, growing, and operationally strong.
Its profitability, liquidity, and solvency ratios indicate a stable and low-risk company with excellent long-term prospects.